

Adani's Biggest Challenge



For the better part of 2022, it was all about the Adani Group stocks in the markets. A dizzying run-up in all Adani stocks saw the overall market capitalisation of the group rise over 100 per cent. As investors and analysts saw the group's meteoric rise on the bourses, Gautam Adani, the 60-year-old boss of the Adani Group, rose to No. 3 in the global wealth ranking, leaving the mighty Mukesh Ambani far behind. It was as if the Adani Group could do no wrong, and the stratospheric growth of the group—which is in the midst of a massive play on the India infrastructure story by way of its airports, ports, roads, power and cement, among other things—was the subject of animated discussion in corporate circles. Cut to February 2023 and the aftermath of the damaging report by little-known US short-seller Hindenburg Research—which accused the Adani Group of pulling off what it called “the largest con in corporate history” by way of stock manipulation, accounting fraud and routing of funds through overseas shell companies—has shaken the group like never before. While the conglomerate issued a detailed rebuttal to the charges, it wasn't before over \$100 billion of the group's market capitalisation was wiped off in just a few days. And while the stocks have stabilised somewhat, the erosion in market cap was still at a whopping ₹10 lakh crore or thereabouts as of February 10. Worse, global banks like Credit Suisse, Citi and Standard Chartered have turned wary of Adani's bonds and securities. And Indian institutions, including State Bank of India and Life Insurance Corporation, which have exposure to the group, have come in for intense criticism after the Hindenburg allegations.

With a massive \$107-billion growth plan lined up for the next 10 years, the Hindenburg report has hit Adani like the proverbial iceberg it never saw coming. The question now is, how will Adani fund his ambitious growth plans, which include a big bet on green hydrogen and a brand new airport project in Navi Mumbai? More important, questions are now swirling around whether the group can service its massive ₹2.25-lakh crore debt and make scheduled repayments on time. In our cover story, *Ashish Rukhaiyar* and *Krishna Gopalan* speak to bankers, analysts, corporate executives and market participants to put together a detailed picture of what Adani's options look like. What quite a few agree on is that the cash flows from the slew of assets, and the group's cash position, offer substantial cushion as far as its debt servicing ability is concerned. With strong assets on the ground generating predictable cash flows, Adani may yet be able to stave off the biggest crisis of his career and live to fight another day. But his ambitious growth plan will have to be made much more realistic as the funding environment turns challenging. And as the crazy valuations become a thing of the past and the group stocks settle at more explicable levels, the regulators will also be taking a close look at the allegations. Clearly, the damage inflicted by Hindenburg—named after an airship disaster of 1937—will take time to be addressed. The dent to the group's reputation is not going away anytime soon. **BT**

Sourav Majumdar
sourav.majumdar@aatk.com
@TheSouravM

Business Today

<http://www.besinesstoday.in>

Chairman & Editor-in-Chief: Aroon Purie
Vice Chairperson: Kalli Purie
Group Chief Executive Officer: Dinesh Bhatia
Executive Director: Rahul Kanwal
Chief Revenue Officer: Alok Nair

Editor: Sourav Majumdar
Group Creative Editor: Nilanjan Das
Group Photo Editor: Bhandeep Singh

Global Business Editor: Udayan Mukherjee
Managing Editor, Business Today TV: Siddharth Zarabi

Managing Editors: Alokesh Bhattacharyya, Anand Adhikari
Executive Editor: Krishna Gopalan

Senior Editor, BusinessToday.in: Mukesh Adhikary

CORRESPONDENTS

Senior Editors: Neetu Chandra Sharma, Nidhi Singal, Smita Tripathi, Sohini Mitter
Editor (Money Today): Teena Jain Kaushal
Senior Associate Editor: Ashish Rukhaiyar
Senior Assistant Editor: Binu Paul
Assistant Editors: Arnab Dutta, Manish Pant
Special Correspondents: Purna Lidhoo, Vidya S.

PRESENTER AND SENIOR EDITOR, BUSINESS TODAY TV: Aabha Bakaya

RESEARCH

Assistant Editor: Rahul Obero
Principal Research Analyst: Prince Tyagi

COPY DESK

Senior Associate Editor: Abhik Sen
Senior Assistant Editor: Shishir Kumar Behera
Senior Sub Editor: Pranay Prakash

PHOTOGRAPHY

Principal Photographer: Rajwant Singh Rawat
Photographer: Hardik Chhabra

ART

Deputy Creative Editor: Anirban Ghosh
Deputy Art Director: Rahul Sharma
Associate Art Director: Raj Verma
Chief Designer: Prabal Biswas

EVENTS

Senior Manager: Sourabh Dutta

PRODUCTION

Chief of Production: Harish Aggarwal
Senior Production Coordinator: Narendra Singh
Production Coordinator: Ayekpam David Meitei

LIBRARY

Assistant Librarian: Satbir Singh

BUSINESS TEAM (MAGAZINE)

National Head: Siddhartha Chatterjee
Assistant General Managers: Ankush Madan, Girish C, Priya Gaur (Govt Sales)

BUSINESS TEAM (BT TV)

Senior General Managers: Masuma Parekh, Nisha Sharma

SALES STRATEGY

General Manager: Sanjay Bhoir

AD OPS

Deputy General Manager: Avinash Karkera

Marketing: Vivek Malhotra, Group Chief Marketing Officer

Newsstand Sales: Deepak Bhatt, Senior General Manager

(National Sales); Vipin Bagga, General Manager (Operations); Rajeev Gandhi, Deputy General Manager (North); Yogesh Godhanlal Gautam, Deputy Regional Sales Manager (West), S. Paramasivam, Deputy Regional Sales Manager (South)

Vol. 32, No. 5, for the fortnight February 20, 2023 to March 5, 2023. Released on February 20, 2023.

● Editorial Office: India Today Mediaplex, FC 8, Sector 16/A, Film City, Noida-201301; Tel: 0120-4807100; Fax: 0120-4807150 ● Advertising Office (Gurgaon): AHA2, Enkay Centre, Ground Floor, VNI Commercial Complex, Udyog Vihar, Phase 5, Gurgaon-122001; Tel: 0124-4948400; Fax: 0124-4030919; Mumbai: 1201, 12th Floor, Tower 2 A, One Indiabulls Centre (Jupiter Mills), S.B. Marg, Lower Parel (West), Mumbai-400013; Tel: 022-66063355; Fax: 022-66063226; Chennai: 5th Floor, Main Building No. 443, Guna Complex, Anna Salai, Teynampet, Chennai-600018; Tel: 044-28478525; Fax: 044-24361942; Bangalore: 202-204 Richmond Towers, 2nd Floor, 12, Richmond Road, Bangalore-560025; Tel: 080-22212448; 080-30374106; Fax: 080-22218335; Kolkata: 52, J.L. Road, 4th Floor, Kolkata-700071; Tel: 033-22805398; 033-22827726; 033-22821922; Fax: 033-22827254; Hyderabad: 6-3-885/7/B, Raj Bhawan Road, Somajiguda, Hyderabad-500082; Tel: 040-23401657; 040-23400479; Ahmedabad: 2nd Floor, 2C, Surya Rath Building, Behind White House, Panchwati, Off: C.G. Road, Ahmedabad-380006; Tel: 079-65603933; 079-6560929; Fax: 079-6565293; Kochi: Karakkatt Road, Kochi-682016; Tel: 0484-2377057; 0484-2377058; Fax: 0484-370962 ● Subscriptions: For assistance contact Customer Care, India Today Group, C-9, Sector 10, Noida (U.P.) -201301; Tel: 0120-2479900 from Delhi & Faridabad; Tel: 0120-2479900 (Monday-Friday, 10 am-6 pm) from Rest of India; Toll free no: 1800 1800 100 (from BSNL/MTNL lines); Fax: 0120-4078080; E-mail: webcare@intoday.com ● Sales: General Manager Sales, Living Media India Ltd., C-9, Sector 10, Noida (U.P.) -201301; Tel: 0120-4019500; Fax: 0120-4019664 © 1998 Living Media India Ltd. All rights reserved throughout the world. Reproduction in any manner is prohibited. ● Printed & published by Manoj Sharma on behalf of Living Media India Limited. Printed at Thomson Press India Limited, 18-35, Milestone, Delhi-Mathura Road, Faridabad-121007, (Haryana). Published at F-26, First Floor, Connaught Place, New Delhi-110001. Editor: Sourav Majumdar ● Business Today does not take responsibility for returning unsolicited publication material. All disputes are subject to the exclusive jurisdiction of competent courts and forums in Delhi/ New Delhi only.



For reprint rights and syndication enquiries, contact
syndications@intoday.com or call +91-120-4078000

www.syndicationtoday.in